CPCS Group Conflict of Interest Management Policy and Procedure

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Policy

Purpose of Policy

CPCS Transcom Limited, and its affiliates[1] (together "CPCS"), are a group of management consulting firms specializing in transport, power and public-private partnerships.

CPCS recognizes that it is an intrinsic part of its business that its advice be, and is viewed to be, independent, impartial and in the best interests of clients. CPCS also recognizes the potential for its own commercial interests or the interests of its Personnel (employees, exclusive associates and non-executive directors included) to adversely impact, or be perceived to impact, the interests of its clients.

The aim of the Conflict of Interest Management Policy is to ensure that actual, potential or perceived conflicts of interest are avoided as much as possible and that, where they do or are seen to have potential to arise, they are mitigated so that the interests of CPCS's clients are protected and that CPCS's risk to itself and its reputation is minimized.

CPCS is committed to acting in its existing clients' best interests at all times.

To whom does this Policy apply?

This Policy applies to the whole of CPCS . Therefore, the client or potential client of any company in the group is deemed to be, for the purposes of this Policy, a client or a potential client of each and all of the other affiliates. For example, a client of CPCS Transcom Inc. is deemed to be a client of First Class Partnerships Limited.

When may a Conflict of Interest arise?

For the purposes of this Policy, a conflict of interest arises when CPCS is:

a) providing services to Client A and Client B in respect of the same or a different engagement where their interests are, or there is a substantial risk they will be, in conflict (Client Conflict);

b) providing services to Client A where CPCS's interests, or those of its Personnel or one of their immediate family members (spouse, children, parents, siblings), come into conflict, or there is a substantial risk that they will come into conflict (Own Interest Conflict); or

c) providing services to Client A where CPCS (or one or more of its Personnel deployed on the engagement for Client A) holds confidential information about Client B from a previous or another current engagement that is material and relevant to the engagement for Client A (Confidentiality Conflict);

(Client Conflict, Own Interest Conflict and Confidentiality Conflict are collectively referred to as "Conflicts").

While the above will cover most cases when Conflicts may arise, clients may define a conflict of interest more widely than what is provided under this Policy and this possibility needs to be kept in mind at the Proposal or Project Execution Phases.[2]

You should also be aware that in addition to real Conflicts, this Policy covers also situations where there may not be an *actual* or *potential* Conflict per se, but where a situation nonetheless exists that could reasonably be perceived by a client as amounting to a Conflict (a Perceived Conflict). To reduce instances of such Perceived Conflicts, interpreting liberally[3] of the above definitions of Client Conflict, Own Interest Conflict and Confidentiality Conflict will go a long way.

What will CPCS do if a Conflict Arises?

Conflicts may arise from time to time. This Policy (and the Procedure which follows) seeks to ensure that, when that is the case, the Conflict is resolved quickly and in accordance with the purpose of this Policy.

If CPCS determines that:

a) a Conflict or a Perceived Conflict has arisen; or

b) there is a substantial risk that a Conflict or a Perceived Conflict could arise in the future;

then CPCS will:

a) cease to act for one or more of its clients to avoid a Conflict continuing; or

b) decline a new engagement that could create a Conflict.

The only exception to this is if the client (if only one client is involved) or all clients (if two or more clients are involved) can be informed of the existence of the Conflict without CPCS thereby breaching any obligation of confidentiality, and once informed by CPCS of the existence of, or potential for, a Conflict, consent in writing to CPCS acting for it and the other client, as the case may be. In such circumstances CPCS will put in place appropriate mitigation measures (see the Conflict Resolution Procedure section below) to ensure that it is able to act in the best interests of the/each client.

To further protect its clients' interests, CPCS keeps confidential all information received from clients and requires CPCS Personnel, notably through its Code of Ethics, to do the same.

The Corporate Affairs Manager

The board of directors and senior management of CPCS are committed to ensuring that CPCS implements and enforces this Policy and have delegated the supervision of this Policy to the Corporate Affairs Manager. The Corporate Affairs Manager never serves as a Project Director or Project Manager[4] for any given engagement, is therefore able to provide independent review of any potential Conflict or Perceived Conflict and preserve client confidentiality.

The Corporate Affairs Manager will ensure:

- the implementation and maintenance of this Policy and its annual review;
- its application by CPCS Personnel;
- the conduct of all necessary checks under this Policy;
- compliance with the Policy;

- where a Conflict or Perceived Conflict is identified, notification to senior management and mitigation measures put in place as soon as practicable; and
- where Conflicts have arisen completion of all necessary non-conformance recording.

The Corporate Affairs Manager can delegate the tasks related to Conflict of Interest management to another member of the Corporate Services team as long as the person also never serves as a Project Director or Project Manager for any given engagement.

Personal Interests

For the purposes of identifying and avoiding Own Interest Conflicts, on joining CPCS and throughout their time at CPCS, all Personnel must disclose to CPCS, **in writing** at least once a year, any directorship, office, position (including part-time), or financial interest (including by way of shares) they or their immediate family (spouse, children, parents, siblings) have in respect of: a) CPCS' clients and b) more generally, any firms and undertakings activities in the transport and energy sectors (Declarations of Interest). Details as to what needs to be disclosed will be set out in the Declaration of Interest form provided by CPCS. Personnel must notify the Corporate Affairs Manager immediately to any changes that would affect their Declarations of Interest. If in doubt, CPCS Personnel should consult the Corporate Affairs Manager for guidance. CPCS will keep a confidential register of all such personal interests for the purpose of identifying and avoiding Own Interest Conflicts.

Failure to adhere to CPCS Conflict of Interest Management Policy

CPCS considers the proper management of Conflicts to be a core obligation of all Personnel and will treat any breach of this Policy with the utmost seriousness. Adherence to this Policy forms an integral part of all Personnel's contracts of employment, exclusive associate agreements and directors' letters of engagement.

If any Personnel fails to comply with this Policy, including the Procedure below, that Personnel will be subject to disciplinary action, which may include termination of their directorship, employment, or other work relationship with CPCS.

Procedure

Conflict Checking Process

The identification of Conflicts and Perceived Conflicts is an ongoing process throughout the project lifecycle. It starts as soon as an opportunity is identified and ends only when the engagement is completed. Any reference below to a Conflict includes also a Perceived Conflict.

New Engagements

1. A Proposal/Project Manager, at the "Assessing Identified Opportunity?" stage of the Business Development phase will gather information about the client and the proposed engagement, including end client and other parties involved and, if the opportunity is one we have decided to pursue (GO bid decision), submit an **Opportunity Compliance and COI Form**.
2. The Proposal/Project Manager must provide CPCS Personnel and sub-contractors slated to work on the engagement with details of the engagement and obtain from the proposed sub-contractors their confirmation that they have no Conflicts.
3. The Proposal/Project Manager will then undertake necessary inquiries to complete the **Opportunity Compliance and COI Form**. The completed Opportunity Compliance and COI Form will then be reviewed and approved by the Project Director and forwarded, together with the relevant No Conflicts Confirmation Declarations, to the Corporate Affairs Manager.
4. The Corporate Affairs Manager will then review the Opportunity Compliance and COI Form and complete it with additional prescribed searches to identify Conflicts. Copies of all Opportunity Compliance and COI Forms and the associated No Conflicts Confirmation Declarations will be kept by the Corporate Affairs Manager in a secure online location.
5. If the Corporate Affairs Manager determines that a Conflict exists, they will inform the Proposal/Project Manager, the Project Director and the General Counsel and proceed in accordance with the Conflict Resolution Procedure set out below.
6. If the Corporate Affairs Manager is satisfied that no Conflicts exist at this point, they will notify the Proposal/Project Manager in writing (copied to the Project Director and the General Counsel) that no Conflicts seem to exist. No Proposal/Project Manager will accept an engagement or submit a proposal until they have received the above clearance.

During an ongoing Engagement

1. Project Managers must notify the Corporate Affairs Manager if there are any changes to the engagement during the Project Execution phase, which may include but would not be limited to, material changes to the scope of the services being provided to a client. The Corporate Affairs Manager will then update the engagement records as necessary. Additionally, CPCS Personnel will be briefed by the Project Manager to be aware of any changes in the engagement, in CPCS business (including new engagements) or in their Personal Interests which could create a Conflict. Any material changes will be recorded as an update in CPCS Conflicts database.
2. If a Conflict is discovered during the Project Execution Phase of an engagement, the CPCS Personnel who discovered the Conflict will immediately notify the Corporate Affairs Manager who will work with each relevant Project Managers and Project Directors to carry out the Conflicts Resolution Procedure below.

Conflicts Resolution Procedure

1. In deciding whether a Conflict exists and can be appropriately mitigated, the Corporate Affairs Manager will be entitled to access any information held by CPCS and have the full cooperation of CPCS Personnel. The Corporate Affairs Manager will seek and obtain the views of the General Counsel on the Conflict
2. If the Corporate Affairs Manager identifies a Conflict, they will determine whether it is possible for CPCS to act for the affected client or clients by putting in place mitigation measures to manage the Conflict. Only where the Corporate Affairs Manager is of the opinion that this is possible, will they write to each of the Project Managers for the affected clients to (a) list the mitigation measures required for the engagement and (b) obtain written confirmation from each affected client that they are satisfied with the proposed mitigation measures. Care to be taken that such notification to clients does not breach any confidentiality obligation on the part of CPCS.
3. If the Corporate Affairs Manager does not, having done all necessary checks and escalated the decision where appropriate, believe that CPCS could act in the best interests of one or more clients because of the Conflict or believes that to do so would entail commercial or reputational risk to CPCS and/or any one of its clients, then the Corporate Affairs Manager must instruct the Project Manager to decline the engagement. The decision of the Corporate Affairs Manager in this regard will be final and not subject to review.

4. The mitigation measures that the Corporate Affairs Manager can require to be put in place to mitigate a Conflict include but are not limited to:

a) not to include any CPCS Personnel who is the source of an Own Interest Conflict because of their Personal Interest in an engagement or, as the case requires, removing them from the engagement;

b) ensuring that proper arrangements, including an effective information barrier, are put in place to protect information that might reasonably affect the client's interests (Material Information) from disclosure, which may include:

- ensuring that the team working on one engagement does not work on or have access to information held by the team working on the other affected engagement;
- project-based security being applied to all documents created and received by the affected engagement(s) so that such documents and the information they contain are not accessible to any CPCS Personnel or third parties not working on the engagement;
- the project description sheet for the affected engagement being drafted in line with the mitigation measures adopted for it;
- all CPCS Personnel and sub-contractors working on the affected engagement being informed of the specific confidentiality and disclosure obligations applicable to that engagement and being required to agree in writing to comply with those obligations and requirements;

c) ensuring that any actual or suspected breaches of the mitigation measures put in place are reported immediately to the Corporate Affairs Manager; and

d) ensuring that affected clients understand the relevant issues and implications of the Conflict, provided that in so doing CPCS does breach any confidentiality obligations it may have.

[1] These affiliates are: 1. CPCS Transcom International Limited (Barbados) and its two subsidiaries: CPCS Transcom Kenya Limited (Kenya) and CPCS Transcom Nigeria Limited (Nigeria); 2. CPCS Transcom Inc. (Delaware); 3. FCP Corporation Limited (England & Wales) and its three subsidiaries: First Class Partnerships Limited (England & Wales), FCP Rail Inc. (British Columbia), and FCP USA Inc. (Delaware).

CPCS Law Firm Limited (Canada), while not strictly an affiliate of CPCS Transcom Limited, is treated as such for the purposes of this Policy.

[2] As an example, the World Bank's Request for Proposals - Consulting Services (Non-supervision) [December 2019], at pp. 20-21 also includes conflicts between consulting activities and procurement of goods, works or non-consulting services and relationships with client's staff as sources of conflicts of interest.

[3] That is, interpreting the three definitions in a fair and reasonable manner in accordance with the object and purpose of this Policy.

[4] The Engagement Director for First Class Partnerships Limited and FCP Rail Canada Inc.